

Daily Market Report

Friday, June 05, 2026 — After Market Close | Singapore

SECTION 1 — Market Summary

Index	Closing Price	Day	1 Week	1 Month	1 Year	52W High	52W Low
S&P 500 (SPY)	757.09	+0.38%	+0.33%	+4.60%	+28.07%	759.57	587.73
Nasdaq 100 (QQQ)	740.61	-0.48%	+0.68%	+8.66%	+42.09%	746.16	518.91
VIX	16.06	+1.84%	-1.41%	-7.59%	-21.93%	31.05	13.47

The S&P 500 (SPY) edged up +0.38% to close at \$757.09, within striking distance of its 52-week high of \$759.57, but the Nasdaq 100 (NDX/QQQ) slipped -0.48% to \$740.61 as tech digested Broadcom's miss-driven double-digit plunge and May nonfarm payrolls — released this morning — kept investors cautious ahead of the June 16-17 FOMC meeting. Health Care (+3.07%), Financials (+2.59%), and Real Estate (+2.05%) led a broad rotation away from semiconductors, with 8 of 11 S&P sectors closing green and the VIX calm at 16.06.

SECTION 1B — Early Warning

Signal	Status	What It Means
VIX (fear gauge)	GREEN	16.1 — calm
Breadth (sectors up)	GREEN	8/11 sectors green — broad
S&P vs 50-day avg	GREEN	+6.3% vs trend
Consumer confidence	GREY	N/A — set manually in config
10Y Treasury yield	GREEN	4.49%

Overall: **HEALTHY**

SECTION 2 — Stock Spotlights

Micron Technology (MU)

Metric	Value
Closing Price	996.0
Day Change	-7.74%
52W High	1079.57
52W Low	94.46
P/E Ratio	47.0
Dividend Yield	6.0%
Analyst View	strong_buy
Analyst Target	\$739.48 (S&P Global / StockAnalysis consensus, June 2026)
Next Earnings	Jun 24, 2026
Beta (1Y)	2.71

HOLD — Micron trades at \$996.00, well above the S&P Global consensus target of \$739.48 and the MarketBeat consensus of ~\$642, meaning the stock has run ~35% past the average street target on the back of explosive AI-driven HBM demand — 44 analysts still rate it Strong Buy but the risk-reward is deteriorating at these prices. Momentum remains powerful with a 1-year gain of +933% and a 1-month pullback of -7.74% offering a potential breather, but with Q3 earnings due June 23, consensus expects EPS of ~\$19.88 on \$34.89B revenue — a blockbuster bar to clear. The primary risk is valuation mean-reversion: at a P/E of 47x with the stock ~35% above consensus targets, any guidance miss or HBM supply normalization could trigger a sharp correction.

SECTION 3 — AI & Mag 7 Watchlist

Ticker	Company	Price	Day	1 Week	1 Month	1 Year	52W Low	52W High	Beta
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NVDA	Nvidia	218.66	+1.82%	+2.06%	+11.28%	+61.37%	134.81	235.74	1.81
AMD	AMD	523.2	-3.56%	+0.99%	+47.27%	+356.70%	110.73	542.52	2.72
AVGO	Broadcom	418.91	-12.59%	-1.80%	-1.98%	+77.77%	235.65	481.57	2.02
GOOGL	Alphabet	372.19	+3.68%	-4.60%	-4.18%	+115.26%	165.19	402.62	1.34
IBM	IBM	301.77	-1.26%	+14.21%	+31.76%	+14.64%	214.64	329.23	1.05
MSFT	Microsoft	428.05	+0.17%	+0.25%	+4.05%	-7.09%	356.77	542.07	0.86
IONQ	IonQ	65.66	-3.77%	-6.39%	+36.79%	+36.68%	26.59	82.09	3.24
QUBT	Quantum Computing Inc.	11.19	-0.09%	-8.58%	+17.05%	-13.92%	6.31	24.62	3.7
RGTI	Rigetti Computing	24.16	+0.27%	-10.62%	+32.24%	+70.26%	10.79	56.34	3.72
GFS	GlobalFoundries	84.7	-1.50%	+5.05%	+14.40%	+127.99%	31.62	89.96	1.89

SECTION 4 — Why Markets Moved

Friday's session saw the S&P 500 add a modest +0.38% while the Nasdaq 100 (NDX) declined -0.48%, reflecting a clear rotation out of semiconductor and AI-heavy tech names following Broadcom's (AVGO) double-digit earnings-driven plunge earlier in the week. The session was bookended by the May nonfarm payrolls print released at 8:30 AM ET — analysts had forecast ~85,000 jobs, historically light and down from 115,000 in April — while the Dow Jones hit a fresh all-time high of 51,561.93 on Thursday, powered by UnitedHealth, JPMorgan, and Walmart leading the non-tech charge.

The week's defining event was Broadcom reporting fiscal Q2 revenue of \$22.19B, narrowly missing the \$22.27B consensus, triggering a -12.59% single-day collapse in AVGO and dragging the broader chip complex lower. CrowdStrike's post-earnings guidance plunge added to bearish tech sentiment, while geopolitical noise from fresh US-Iran exchange of strikes stoked energy and inflation concerns. On the positive side, health care names surged on rotation demand, and the Israel-Lebanon ceasefire news helped oil and yields dip on Thursday, providing relief to consumer and non-tech sectors.

For Singapore-based investors, the rotation picture matters: 8 of 11 S&P sectors closed green today, market breadth is healthy, and the VIX at 16.06 signals no systemic fear. However, Goldman Sachs' Risk Appetite Indicator reportedly sits in the 99th percentile of all readings since 1991 — a warning that markets are priced for perfection. The upcoming June 10 CPI print and June 16-17 FOMC meeting are the next key catalysts; any inflation upside surprise or hawkish Fed tone could reprice the tech-heavy NDX sharply lower.

SECTION 5 — Sector Rotation & Macro

Winners

- Health Care: **+3.07%**
- Financials: **+2.59%**
- Real Estate: **+2.05%**

Losers

- Consumer Staples: **-0.15%**
- Technology: **-1.56%**

Macro

- FOMC on deck June 16-17: Markets are watching the Fed closely after sticky inflation signals — the ISM Services price gauge recently hit a near four-year high. Rate hike expectations have been pushed out to March-April 2027 per Bloomberg probabilities, but any hot CPI on June 10 could bring forward expectations and pressure long-duration tech valuations.
- May nonfarm payrolls released today (June 5) with consensus expecting ~85,000 jobs — the third straight month of gains but historically light, reflecting a 'low-hire, low-fire' equilibrium as firms navigate higher financing costs and trade uncertainty. A weaker print would reduce rate-hike fears; a surprise beat would reignite them.
- Strait of Hormuz remains a geopolitical wildcard: JPMorgan analysts noted in early June that accelerating oil inventory depletion may force a reopening of the Strait 'one way or another' in June, which could sharply ease energy price pressures and boost consumer sentiment — a significant upside catalyst for non-energy equities if it materialises.

SECTION 6 — Earnings Calendar

Watchlist stocks verified. Broader NDX dates sourced via web search — confirm before trading.

Company	Ticker	Next Earnings	
Micron Technology	MU	Jun 24, 2026	WATCHLIST
Campbell's	CPB	Jun 09, 2026	
Oracle	ORCL	Jun 10, 2026	
Chewy	CHWY	Jun 10, 2026	

Adobe	ADBE	Jun 11, 2026
Lennar	LEN	Jun 11, 2026
J.M. Smucker	SJM	Jun 09, 2026
Casey's General Stores	CASY	Jun 09, 2026
GameStop	GME	Jun 09, 2026
Medtronic	MDT	Jun 10, 2026

SECTION 6B — Opportunity Radar

- **AI Memory Super-Cycle** — Micron reached \$1 trillion in market cap last week, doubling from \$500B in under 50 trading days, as AI data-centre HBM demand creates genuine supply shortages. Consensus Q3 revenue estimate for MU has been revised upward by +64% in the past 3 months alone, signalling analysts are still chasing the fundamental upside even as the stock sits above price targets. (e.g. MU)
- **Broadening Sector Rotation Beyond Big Tech** — With 8 of 11 S&P sectors green today and the Dow hitting all-time highs driven by Health Care (+3.07%) and Financials (+2.59%), the earnings gap between Magnificent Seven and the rest of the market is closing — S&P 500 ex-top-7 posted best earnings growth in years at ~12% in recent quarters. This rotation rewards laggards with strong fundamentals at lower valuations. (e.g. GOOGL)
- **AI Infrastructure 'Picks and Shovels' Re-Rating** — Optical networking, custom silicon, and AI-enabling semiconductor equipment names are emerging as the '2026 picks and shovels' trade — GlobalFoundries (GFS) is up +128% year-over-year and +14.4% in the past month as foundry capacity for AI chips tightens. NVIDIA's multiple analyst upgrades in June, driven by expanded Blackwell shipments through H2 2026, validate the capex super-cycle thesis. (e.g. GFS)

The current environment is constructive but demands selectivity: the VIX at 16.06 is calm, 8/11 sectors are green, and the S&P sits +6.3% above its 50-day moving average — all GREEN signals. However, Goldman Sachs' Risk Appetite Indicator at the 99th percentile since 1991 and Schwab's mid-year warning of 'concentrated earnings, record household equity exposure, and a thin equity risk premium' counsel against adding aggressive new risk here. We recommend HOLDING core AI and semiconductor positions while trimming overextended names above analyst consensus targets (MU is ~35% above its \$739.48 consensus), rotating trimmed proceeds into Health Care (today's sector leader at +3.07%) and quality dividend growers with lower betas, and keeping a ~10% cash buffer ahead of the June 10 CPI and June 16-17 FOMC — two events capable of repricing the entire NDX in either direction. For Singapore-based investors, USD strength risk remains relevant given JPY at ~160 and BoJ policy uncertainty.

SECTION 7 — Stocks to Watch

NVDA | Price: \$218.66 | **BUY** | Horizon: 5-YEAR

NVIDIA's Blackwell supply constraints are easing with foundry allocation freeing up through H2 2026, and multiple banks lifted price targets in June after expanded shipment guidance — the AI capex super-cycle has years of runway with NVIDIA at its centre. At \$218.66, the stock is 7.3% below its 52-week high of \$235.74 with a beta of 1.81 — elevated but manageable for a 5-year structural growth holding; accumulate on dips.

IBM | Price: \$301.77 | **HOLD** | Horizon: 1-YEAR

IBM has surged +14.21% in the past week and +31.76% in a month, reflecting a genuine re-rating as its hybrid-cloud and AI consulting pipeline accelerates, but the stock is now 8.3% below its 52-week high of \$329.23 with a low beta of 1.05 making it a quality compounder. Hold for income (dividend supported) and further enterprise AI adoption tailwinds, but do not aggressively add at current elevated near-term momentum levels.

AVGO | Price: \$418.91 | **SELL** | Horizon: EXIT NOW

Broadcom's -12.59% single-day collapse after reporting Q2 revenue of \$22.19B — slightly below the \$22.27B consensus — confirms the market had priced perfection into this name; at \$418.91 it is still 13% below its 52-week high of \$481.57 but the earnings miss has cracked the narrative. With a high beta of 2.02, a -1.98% 1-month return, and custom-ASIC hyperscaler wins already well-priced in, risk-reward no longer favours holding — exit and redeploy into higher-conviction AI infrastructure plays.

GFS | Price: \$84.7 | **BUY** | Horizon: 5-YEAR

GlobalFoundries is up +128% year-over-year and +14.4% over the past month as tightening foundry capacity for AI-adjacent chips makes GFS a structurally advantaged 'picks and shovels' play — it is not exposed to the AI hype bubble but benefits from the infrastructure buildout. At \$84.70 with a beta of 1.89, it offers growth with manageable volatility; accumulate on pullbacks toward the \$80 level.

MSFT | Price: \$428.05 | **HOLD** | Horizon: 1-YEAR

Microsoft at \$428.05 is the defensive AI anchor of the NDX with the lowest beta in our universe (0.86) and a positive +0.17% day in an otherwise choppy tech session, but its -7.09% 1-year return trails the broader market significantly — suggesting the market is still digesting its valuation reset. Hold for its Azure AI monetisation ramp and capital return programme, but do not aggressively add until earnings clarity improves.

SECTION 8 — Market Trends

Today's split session — S&P +0.38% while the Nasdaq 100 (NDX) slipped -0.48% — is a textbook rotation signal: money is moving from high-beta AI semiconductors into defensive and cyclical sectors, with Health Care (+3.07%) and Financials (+2.59%) absorbing flows that exited AVGO (-12.59%), AMD (-3.56%), and AVGO-adjacent names. The broad market internals are actually healthy — 8 of 11 sectors green and the VIX subdued at 16.06 — which suggests this is consolidation after an extended AI-led run rather than the start of a risk-off episode; the key test is whether NDX can hold support ahead of the June 10 CPI print.

Upside Risks

- Strait of Hormuz reopening: JPMorgan analysts flagged in early June that accelerating oil inventory depletion is forcing a reopening — if it materialises, oil prices could fall sharply, easing inflation and bringing forward Fed rate cut expectations, which would powerfully re-rate the long-duration NDX.
- NVDA Blackwell shipment upside: Multiple bank upgrades this month cite foundry allocation freeing up through H2 2026, meaning Nvidia revenue capped by supply constraints can now ship — a positive Q3 guidance print in August would reignite the AI-chip rally across the complex.
- Broad earnings re-acceleration: FactSet forecasts S&P 500 Q1 2026 earnings grew 28.4% — the highest since Q4 2021 — and with US corporate buybacks at \$865 billion YTD (annualised \$1.5 trillion), the structural bid for equities remains extremely strong even if top-line macro softens.

Downside Risks

- Hot June 10 CPI: With ISM Services price gauge at a near four-year high and sticky services inflation, an upside CPI surprise could push 10-year yields well above the current 4.49%, directly compressing NDX multiples and triggering a swift 3-5% index correction.
- Concentrated breadth fragility: Citadel Securities data shows just 28% of S&P 500 constituents have outperformed the index over the past 30 trading days — a 1st percentile historical observation — meaning a meaningful rotation out of the 5-7 mega-cap AI leaders could drag the headline index sharply lower even if the broader market holds up.
- Geopolitical escalation re-ignition: Fresh US-Iran exchanges of strikes in early June have already kept Brent near \$96, and 170 ships remain locked in the Persian Gulf more than 100 days into the conflict; any renewed escalation blocking the Strait of Hormuz would spike energy costs, re-ignite inflation fears, and derail the Fed easing path that underpins tech valuations.

SECTION 9 — Portfolio Allocation (5-8 Year Horizon)

With VIX at a calm 16.06, S&P breadth at 8/11 sectors green, and the index +6.3% above its 50-day average, near-term conditions favour staying invested — but Goldman Sachs' Risk Appetite Indicator at the 99th percentile and Schwab's mid-year warning of concentrated earnings growth, sticky inflation, and a thin equity risk premium justify a progressively more defensive tilt for an investor 5-8 years from retirement. The allocation below prioritises capital growth now through quality AI and diversified equity exposure, while building the preservation layer via investment-grade bonds (attractive at 4.49% 10Y yields) and inflation hedges — consistent with Vanguard's 2026 projection that high-quality US fixed income offers the strongest risk-return profile over the coming 5-10 years for near-retirees.

Bucket	Allocation %	Purpose
Core US Large-Cap Equities (S&P 500 / NDX index funds)	30%	Captures broad market growth and AI-driven earnings expansion with diversification — lower risk than individual stock picking. Skew toward low-cost index ETFs (SPY, QQQ) to maintain NDX upside while limiting single-name concentration risk.
Quality AI & Semiconductor Growth (NVDA, GFS, IBM, MSFT)	15%	Targeted exposure to the AI infrastructure super-cycle with quality filters — low beta where possible (MSFT beta 0.86, IBM beta 1.05). Avoid single-name concentration above 5% per position. Trim aggressively on extended valuations (MU above consensus).
Defensive Sector Rotation (Health Care, Financials, Consumer Staples ETFs)	15%	Today's market rotation into Health Care (+3.07%) and Financials (+2.59%) validates this bucket. Provides earnings broadening exposure and lower correlation to AI/semiconductor volatility — a capital preservation buffer as retirement approaches.
Investment-Grade & Short-Duration Bonds (US Treasuries, IG Corporate, TIPS)	25%	With 10Y yields at 4.49%, investment-grade bonds now offer competitive income with significantly lower volatility than equities. Ladder maturities 2-7 years to avoid duration risk from potential yield rises. Include 5-8% TIPS allocation to hedge sticky inflation as services CPI remains elevated.
International Developed Markets (ex-US equity)	10%	Diversifies USD and US-policy concentration risk. Vanguard's 2026 VEMO ranks non-US developed markets equities among the top 3 risk-return opportunities over the next 5-10 years. Provides natural hedge if USD weakens as Fed eventually resumes easing.
Real Assets & Alternatives (REITs, Gold, Commodities)	3%	Inflation hedge and portfolio diversifier — gold at ~\$4,489 is near all-time highs given USD uncertainty. REITs offer income at lower equity beta. Keeps portfolio protected against geopolitical tail risks (Strait of Hormuz, Middle East escalation).
Cash & Cash Equivalents (Money Market, T-Bills)	2%	Dry powder for rebalancing opportunities and sequence-of-returns risk buffer as retirement approaches. Earning ~5%+ in money market funds. Maintains liquidity ahead of major macro catalysts (June 10 CPI, June 16-17 FOMC).

Rebalance Trigger: Rebalance immediately if: (1) VIX spikes above 25 — indicating a fear regime shift warranting a 5% shift from Growth Equities to Bonds/Cash; (2) the S&P 500 falls more than 8% from its 52-week high (\$759.57 → below \$699), signalling potential trend break; (3) 10-year Treasury yield breaks above 5.0%, requiring duration reduction in the bond bucket; or (4) any single AI/semiconductor position exceeds 8% of total portfolio value, requiring trim-and-redistribute to defensive buckets.

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